

Warranty Revenue Forecasting System

Multi-Spectrum Forecasting & Decision Support

Problem

Warranty revenue decisions are often reactive.
Insights are based on historical reports only.

This leads to:



Delayed response to
revenue fluctuations



Inefficient inventory
and resource allocation



Lack of forward-
looking visibility

Objective

Shift from reporting → forecasting → **decision support**

Build a system that:



Predicts future revenue



Quantifies uncertainty



Supports proactive
decisions

01 Solution

A Multi-Spectrum Forecasting System that:

1. Combines multiple models
2. Captures different data patterns
3. Produces robust and reliable forecasts

A system that doesn't rely on one model.

But integrates multiple perspectives
to understand how the system behaves

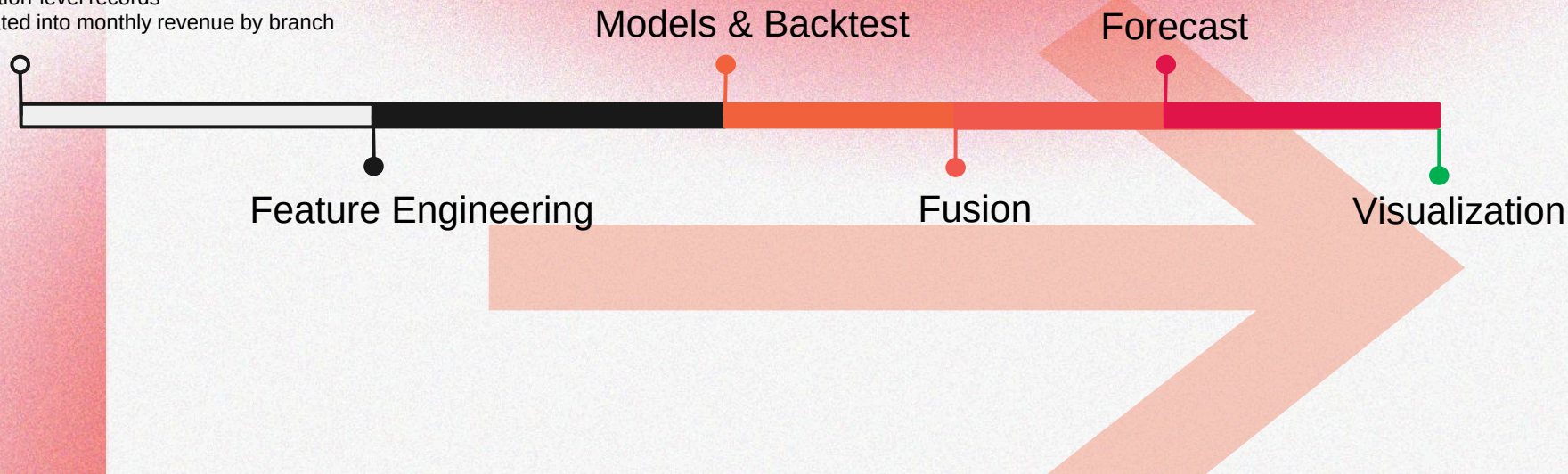
02 Architecture

Data induction

ETL process

Data Source

- Historical warranty claims data over past 3 years(29,000 obs.)
- Transaction-level records
- Aggregated into monthly revenue by branch



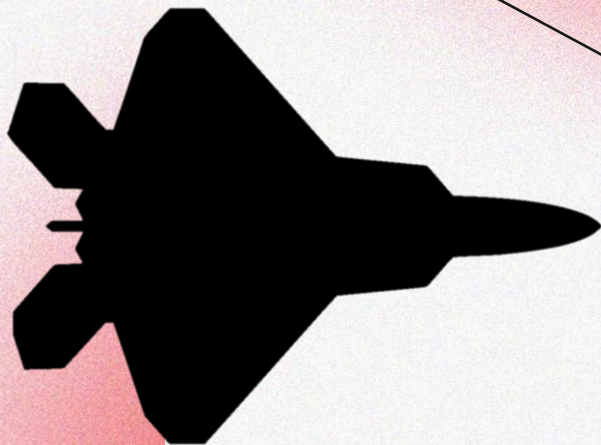
03

Multi-Spectrum Forecasting Framework

XGBoost → Nonlinear
(High frequency)

ETS → Seasonality
(Mid frequency)

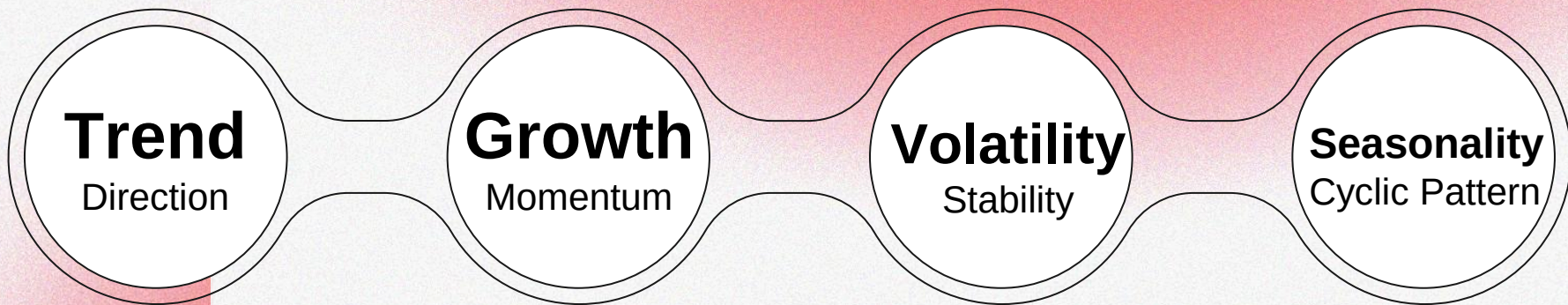
ARIMA → Trend
(Low frequency)



Hybrid → Dynamic weighted
combination based on
backtest RMSE

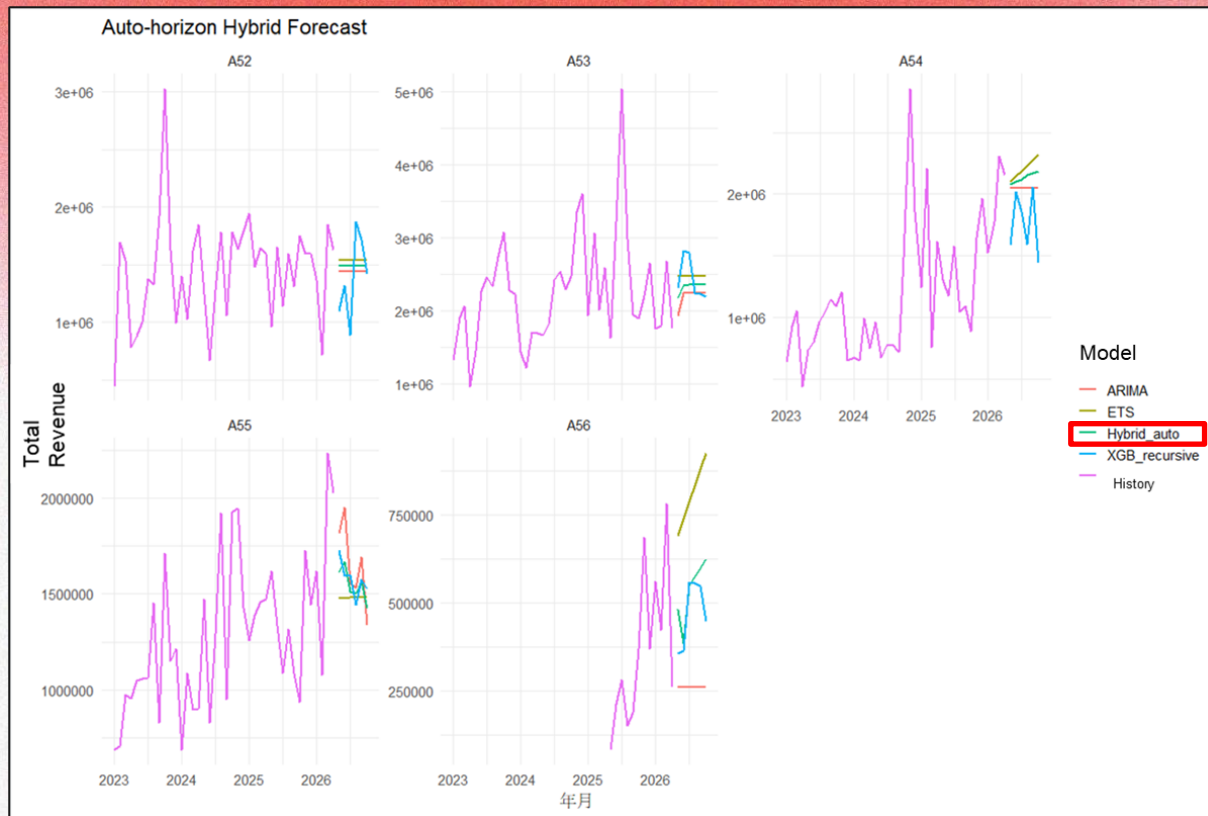
04 Feature Engineering

Instead of raw data,
the model learns structured signals from time series behavior



05 Result

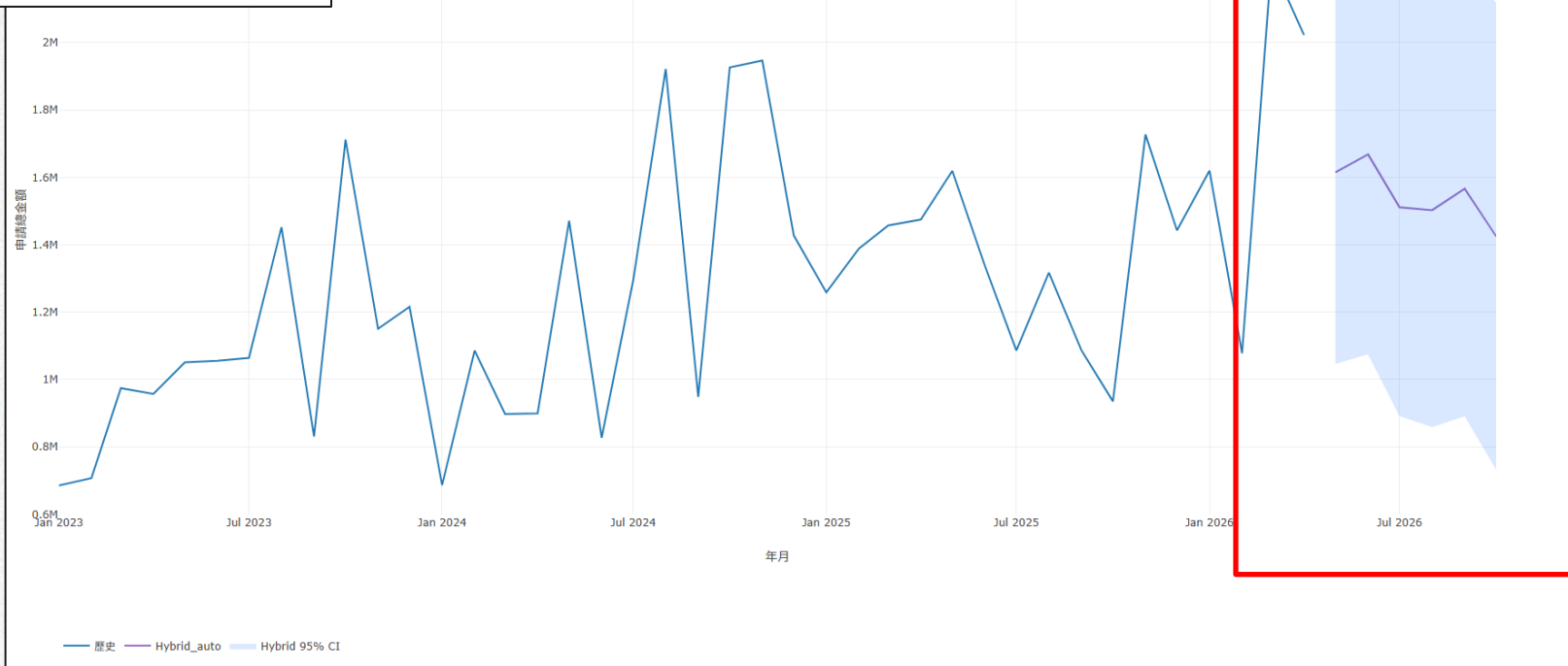
Provides forecast with uncertainty range
Identifies high-risk periods
Enables risk-aware decision making



05 Result

Provides forecast with uncertainty range
Identifies high-risk periods
Enables risk-aware decision making

Branch A55 Prediction : History+Hybrid



06

Decision Impact

The system enables:

- Proactive revenue planning
- Risk detection through uncertainty
- Better inventory and resource decisions

Key insight:

High uncertainty $\neq$ stable situation

Thank You

Contact :

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GitHub :

<https://github.com/william4785-code/Warranty-Revenue-Forecasting-System--Multi-Spectrum-Forecasting-Decision-Support-Framework-.git>